FINANCE POLICY

ACCOUNTS PAYABLE POLICY

Invoice Processing, Approval, Payment, Reconciliation, Audit and Compliance

Policy Reference	FIN-AP-001
Policy Owner	Finance — Accounts Payable
Policy Approver	Controller or designated Finance executive
Version	1.1 (draft pending approval; supersedes version 1.0 on approval)
Effective Date	Version 1.0: January 1, 2026. Version 1.1: the date of approval recorded in the Revision History (Section 19).
Review Frequency	At least annually and upon material process changes
Applies To	Employees and authorized service providers involved in invoice processing, approval, payment and accounting

1. Purpose

This policy establishes minimum control requirements for receiving, validating, approving, recording, paying, and reconciling supplier invoices. It is intended to support accurate financial reporting, timely settlement of valid obligations, compliance with contractual terms, prevention and detection of fraud, and a complete audit trail. This policy states what must be done and by when. The detailed steps are in the procedures listed in Appendix D, and the time limits used throughout are consolidated in Appendix C.

2. Scope

This policy applies to supplier invoices, credit notes, employee-reimbursable business expenses processed through Accounts Payable, and other non-payroll obligations assigned to Finance for processing. It applies to all business units and locations using the organization’s approved finance systems. Payroll, customer refunds, debt service, and other payments governed by separate procedures are outside this policy unless expressly assigned to Accounts Payable.

3. Policy Principles

- Only legitimate, properly supported, and duly approved obligations may be recorded for payment.
- The person who creates or changes a supplier record must not independently approve the related invoice or release its payment.
- Invoice approval confirms that the goods or services were received, the charge is business-related, and the amount and coding are appropriate.
- Payments must be made only to verified supplier payment instructions maintained in the approved system of record.
- Urgency, supplier pressure, or a threatened service interruption does not permit mandatory controls to be bypassed.
- Records must be complete, traceable, access-controlled, and retained in accordance with the approved records schedule.
- Controls must be designed so that they can be independently tested; a control that leaves no evidence is treated as not performed.

- Applicable laws, regulations, and sanctions requirements take precedence over commercial or operational convenience.
- In this policy, “must” means mandatory. Time limits are stated in Appendix C and are measured in business days unless stated as calendar days.

4. Definitions

Term	Meaning
Accounts Payable (AP)	The function responsible for processing and recording approved supplier obligations and coordinating settlement.
Business day	A day on which the organization’s Finance function is open for business, excluding weekends and company holidays.
Purchase Order (PO)	An approved purchasing document authorizing the acquisition of specified goods or services under defined terms.
Goods Receipt / Service Confirmation	Evidence that ordered goods were received or contracted services were performed.
Two-way match	Comparison of an invoice to the approved purchase order or other authorization, as applicable.
Three-way match	Comparison of the invoice, approved purchase order, and goods receipt or service confirmation.
Payment run	A controlled batch or scheduled process used to prepare supplier payments for release.
Credit note	A supplier document that reduces an amount owed, for example for returns, price adjustments, or billing errors.
Prepayment	A payment made before goods are received or services are performed, including deposits and advances.
Segregation of duties (SoD)	Allocation of incompatible activities to different individuals to reduce the risk of error or fraud.
Exception	A documented deviation from a standard processing requirement that is permitted under this policy and approved at the required level.
Internal Audit (IA)	The independent assurance function that evaluates the design and operating effectiveness of governance, risk management, and control processes, including Accounts Payable.
Internal Control over Financial Reporting (ICFR)	Controls that provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements.
Key control	A control that, if it fails, could allow a material error or fraud to go undetected, and which is therefore documented and tested.
Control deficiency	A weakness in the design or operation of a control. Deficiencies are rated as deficiency, significant deficiency, or material weakness according to their potential impact.
Business email compromise (BEC)	Fraud in which an attacker impersonates a supplier, executive, or colleague, typically to redirect a payment or change payment instructions.

5. Roles and Responsibilities

Role	Responsibilities
Requesting Business Unit	Confirms business purpose, receipt of goods or services, correct cost allocation, and completeness of supporting documentation.
Budget Owner / Approver	Reviews the business need, validates coding and budget availability, and approves within delegated authority.
Accounts Payable	Checks invoice completeness, duplicate risk, required approvals, matching results, supplier details, payment terms, and accounting treatment before posting or scheduling payment.
Procurement	Supports purchase order and contract questions, resolves pricing or quantity discrepancies, and confirms purchasing authorization when required.
Vendor Master Data Administrator	Maintains supplier records based on approved requests and evidence; does not approve its own supplier changes or release related payments.
Treasury / Authorized Payment Releaser	Reviews the payment proposal and releases payments in accordance with bank mandates and delegated authority, independently of payment preparation.
Controller / Finance Process Owner	Owns this policy, oversees control design and exceptions, reviews escalated issues, and ensures monitoring and policy updates.
Internal Audit	Provides independent, risk-based assurance over AP controls; tests control design and operating effectiveness; reports findings to senior management and the Audit Committee; validates remediation. Does not perform AP operational duties.
Compliance / Legal	Advises on anti-bribery, sanctions, tax, privacy, and regulatory requirements; reviews escalated matters; maintains the whistleblower and investigation process.
IT / System Owner	Administers system access, change management, logging, backups, and security for AP, vendor master, and banking systems; supports user access reviews and audit data requests.
Tax	Sets tax documentation, withholding, and information-reporting requirements and deadlines; reviews tax treatment on escalation.

6. Invoice Submission and Minimum Documentation

6.1 Submission channel

Invoices must be received through the designated AP intake channel or approved electronic invoicing platform. Business units must forward invoices received directly to them to AP within 2 business days of receipt and must not authorize suppliers to split invoices to avoid approval limits.

6.2 Required invoice details

- Supplier’s legal name and remittance details consistent with the approved supplier record.
- Unique invoice number and invoice date.
- Description of goods or services, quantities where applicable, unit prices, subtotal, tax, currency, and total amount due.
- Purchase order number or other documented authorization, where required.
- Evidence of goods receipt or service completion, where applicable.
- Payment terms and due date, consistent with the contract or approved supplier record.
- Applicable tax information and any required supporting documents.

6.3 Incomplete invoices

AP must place an incomplete or unclear invoice on hold and request the missing information from the supplier or responsible business unit within 3 business days. The reason for the hold and the date of the request must be recorded. An invoice that remains on hold for more than 30 calendar days must be escalated to the Finance Process Owner. AP must not fabricate missing details or post an invoice solely to meet a processing target.

7. Invoice Validation and Matching

7.1 Standard validation

AP must complete the validation below and route a valid invoice for approval, or place it on hold, within 5 business days of receipt.

- Confirm the supplier exists in the approved vendor master and the supplier record is active.
- Check invoice number, supplier, amount, currency, and date against previously recorded invoices to identify potential duplicates.
- Confirm required approvals are recorded and the approver has authority under the current Delegation of Authority (FIN-DOA-001).
- Check mathematical accuracy, tax treatment, coding, cost center, project or purchase order reference, and payment terms.
- Confirm that the invoice is not subject to a dispute, hold, credit note, or other restriction that would prevent payment.

7.2 Purchase order invoices

Where a purchase order is required, AP must perform the applicable two-way or three-way match before posting the invoice for payment. Differences in price, quantity, tax, or receipt status must be referred to the responsible business unit or Procurement for resolution. AP must not change the purchase order or receipt record to force a match.

7.3 Non-PO invoices

Invoices without a purchase order may be processed only when the transaction type is permitted by the Purchasing Procedure (PRC-001) and the required business justification and delegated approval are documented. The absence of a purchase order does not remove the need to verify receipt, business purpose, accounting treatment, and approval authority.

7.4 Duplicate or suspicious invoices

Potential duplicate invoices must be placed on hold and reviewed within 5 business days. AP must compare the supplier, invoice number, amount, date, purchase order, and supporting details. Suspected invoice manipulation, altered bank details, unusual payment urgency, or requests to redirect funds must be escalated within 1 business day under the Fraud-Reporting Procedure (CMP-FRD-001) and independently verified before processing. “Unusual payment urgency” means any request to pay faster than the contract terms or the approved payment calendar allow.

7.5 Retroactive purchase orders

An invoice must not be matched to a purchase order created or approved after the invoice date, unless the late purchase order is documented as an exception under Section 12. The rate of retroactive purchase orders is a monitored indicator under Section 14.

8. Approval Requirements

Every invoice must be approved by an individual with appropriate delegated authority before payment is released. Approval must be recorded in the approved workflow or another controlled record. Email approval is acceptable only where permitted by the Approval Procedure (FIN-APR-001) and where the approval can be retained and authenticated.

Approvals must not be self-granted. Invoices must not be divided into smaller amounts to circumvent approval thresholds. Approvers must act on a routed invoice within 5 business days. If an approver is unavailable or has not acted within that time, approval must be obtained from an authorized delegate whose authority is documented, and AP must escalate to the approver's manager. AP is responsible for verifying that approval evidence is present, not for substituting its judgment for the business approver's authorization.

Approval must be recorded before the payment is released. An approval dated after the payment date is a control failure and must be reported under Section 14. An approver must not delegate approval to a person who reports to them for the purpose of approving their own expenses or those of their own supervisor.

9. Payment Processing and Release

9.1 Payment scheduling

AP schedules approved invoices according to contractual payment terms, due dates, available payment methods, and the approved payment calendar, so that the supplier receives funds on or before the due date. Payment terms must not be altered solely to accelerate or defer cash outflow without appropriate authorization. Early-payment discounts may be taken only when permitted by the contract and approved process.

9.2 Payment proposal review

- The payment proposal must be reviewed for unusual amounts, duplicate payment risk, blocked suppliers, changed bank details, manual overrides, and payments outside normal patterns.
- Payment preparation and payment release must be performed by different authorized individuals wherever the system and banking arrangements permit. Where they do not permit it, the Controller must approve a documented compensating control before the arrangement is used.
- Payment release must comply with the current bank mandate (TRS-001), approval matrix, and security requirements.
- Payment files and bank credentials must be protected from unauthorized access or alteration.
- Any rejected, returned, or failed payment must be investigated within 2 business days and recorded before reissue.
- Manual payments, wire transfers, and off-cycle payments must be separately logged, supported, and reviewed by someone other than the preparer.
- Cash payments and payments to a party other than the contracted supplier are prohibited unless approved in advance by the Controller and Compliance.

9.3 Changes to supplier payment instructions

A change to supplier bank account or remittance instructions must be processed under the Vendor Master Data Control Procedure (FIN-VM-001). AP must not rely solely on contact information or instructions contained in the change request. The change must be independently verified using a previously validated contact or another independently sourced channel, and evidence of verification must be retained before payment is redirected.

9.4 Urgent payments

Urgent payments require the same mandatory validation, approval, supplier verification, and release controls as routine payments. The urgency and business reason must be documented. No employee may bypass required controls because a supplier, executive, or project team requests immediate payment.

9.5 Overpayments, duplicate payments and recoveries

Any identified overpayment or duplicate payment must be recorded within 2 business days of discovery and reported to the Finance Process Owner. AP must contact the supplier to request a refund or credit within 5 business days. Amounts not recovered within 60 calendar days must be escalated to the Controller. Supplier credit balances must not be offset or written off without documented approval. Recoveries must be tracked to completion and reviewed in the monthly monitoring process.

10. Special Transaction Types

The requirements in Sections 6 to 9 apply to the transactions below in addition to the specific rules in this section.

10.1 Credit notes and debit memos

- A credit note must be recorded within 5 business days of receipt, linked to the original invoice, and approved on the same basis as an invoice.
- AP must not create a credit note or adjust an invoice without a supplier document or an approved internal dispute record.
- Credits must be applied only to the issuing supplier’s open items. A credit must not be netted against another supplier’s balance or used to reduce a payment without documented approval.
- Unapplied supplier credits must be listed and reviewed monthly. A refund received from a supplier must be recorded and deposited by Treasury, not retained by AP.

10.2 Prepayments, deposits and advances

- A prepayment may be made only where the contract requires it or Procurement documents the business reason, and it requires approval one level above the approval that would apply to an equivalent invoice under the Delegation of Authority (FIN-DOA-001).
- A prepayment must not be made to a supplier whose onboarding under Section 15 is incomplete, unless the Controller approves in writing.
- Prepayments must be recorded as prepaid items, not expenses, and cleared against the related invoice or receipt.
- AP must review open prepayments monthly. A prepayment that remains open more than 90 calendar days after the expected delivery or service date must be escalated to the budget owner and the Controller.

10.3 Foreign currency invoices and payments

- Invoices must be recorded in the invoice currency and converted to the reporting currency using the exchange rate source set in the Month-End Close Procedure (FIN-CL-001).
- Payment must be made in the invoice currency unless the contract states otherwise. A change of payment currency requires approval and Treasury confirmation.
- An invoice whose currency differs from the currency on the supplier record must be placed on hold until verified.
- Open foreign-currency payables must be revalued at each period-end, and realized and unrealized exchange differences must be recorded under the close procedure.
- Payments to foreign suppliers are also subject to Sections 17.3 and 17.4 (sanctions and withholding tax).

10.4 Recurring and standing payments

- A recurring invoice (such as rent, subscriptions, or utilities) must be set up from a contract or approval that states the amount, frequency, start date, and end date.
- Any change to the amount, frequency, or end date requires new approval. Recurring payments must be reviewed with the budget owner at least annually and on contract renewal.

- Automatic debits, standing orders, and auto-pay arrangements are prohibited unless approved by Treasury and the Controller and entered on the register of standing payments. Treasury must review the register monthly.

10.5 Employee expense reimbursements

- A claim must be submitted within 60 calendar days of the expense, itemized, and supported by receipts, in accordance with the Travel and Expense Policy (FIN-TE-001).
- The claim must be approved by the employee's manager. An employee must not approve their own claim or a claim from their manager or any person in their reporting line above them.
- AP must check that receipts are present, the claim is not a duplicate (including against corporate card transactions), and the claim complies with the Travel and Expense Policy. Non-compliant items must be returned to the claimant, not paid.
- Personal expenses must not be reimbursed. Reimbursement must be paid only to the employee's bank account on record, and a change to that account must be verified with HR before payment.

10.6 Payment timeliness

AP must pay approved invoices so that funds reach the supplier on or before the due date. The Finance Process Owner must report invoices paid after the due date monthly, with the reason for each late payment and any late-payment interest or penalty incurred. Where the law sets a mandatory payment period (for example, for public bodies or small suppliers), the legal period applies.

11. Accounting, Reconciliation and Period-End

Invoices must be recorded in the appropriate accounting period in accordance with the applicable accounting framework and the Month-End Close Procedure (FIN-CL-001). AP must monitor invoices received but not yet processed, goods or services received but not invoiced, supplier credit balances, aged open items, and payment clearing differences.

Supplier statements must be reconciled to AP subledger balances monthly for suppliers designated as high-spend or high-risk by the Controller, and at least quarterly for all other suppliers with an open balance. Differences must be assigned to an owner within 5 business days, resolved within 30 calendar days, and escalated to the Controller if still open after 60 calendar days. Each difference must be documented.

The AP subledger must be reconciled to the general ledger control account at each month-end. The reconciliation must be prepared within 10 business days of period-end and reviewed within 5 business days of preparation, by an individual other than the preparer. Both must sign and date it. Reconciling items still open after 60 calendar days must be escalated to the Controller.

Manual journals affecting AP balances must be supported, independently reviewed, and approved under the Journal-Entry Procedure (FIN-JE-001). Cut-off procedures must include a review of invoices and payments posted shortly before and after period-end to confirm they are recorded in the correct period. At period-end, AP and Finance must assess whether material unrecorded liabilities require accrual in accordance with the close procedure.

12. Exceptions and Escalations

Any permitted exception must be documented before processing and must include the business rationale, risk assessment, compensating controls, responsible owner, expiration date, and approval required by the Delegation of Authority (FIN-DOA-001). An exception must not last longer than 90 calendar days. It may be renewed only by new approval, and an exception renewed twice must be either discontinued or converted into a formal change to this policy or the related procedure. Exceptions must not waive applicable law, bank mandate requirements, mandatory fraud verification, or segregation of duties for payment preparation and release.

Invoices involving suspected fraud, sanctions concerns, altered payment instructions, duplicate payment risk, conflicts of interest, or pressure to circumvent controls must be placed on hold and escalated within 1 business day to the Controller and the appropriate Compliance, Treasury, Procurement, or Security function. Potentially fraudulent transactions must not be released while an investigation or required verification remains unresolved.

The Finance Process Owner must maintain a central exception register. An expired exception that remains in use is a control failure. The register must be provided to Internal Audit on request.

13. Records Retention, Audit Trail and Information Security

AP records must be stored in an approved repository and retained in accordance with the Records-Retention Schedule (LEG-RET-001) and any applicable legal hold. The retained record must include the invoice, purchase order or authorization, receipt evidence, approvals, match results, correspondence supporting resolution, payment details, and evidence of any exception. Access must be restricted by role. Bank account details, tax identifiers, and other confidential supplier information must not be placed in unapproved storage locations or distributed beyond personnel with a business need.

Audit trail

- AP and banking systems must keep a system-generated log of who created, changed, approved, or deleted each invoice, supplier record, bank detail, and payment, with date and time.
- Audit logs must be protected from alteration or deletion by AP, vendor master, and payment personnel, and retained for the same period as the underlying records.
- Records must not be destroyed while subject to a legal hold, regulatory inquiry, audit request, or open investigation.
- Backdating, overwriting, or deleting supporting records to conceal an error or deviation is prohibited and is treated as a serious violation of this policy.

14. Monitoring and Compliance

The Finance Process Owner must monitor the indicators below at least monthly and issue a report to the Controller within 10 business days of month-end. At a minimum the report must cover: invoice approval completeness; duplicate invoice alerts; invoices on hold and their age; invoices paid after due date; manual or non-PO invoice rates; payment rejections; supplier bank-detail changes; reconciliation completion; and outstanding exceptions.

A control failure must be documented within 5 business days of identification, assessed for potential financial or fraud impact, assigned to an accountable owner, and remediated. A failure must be escalated to the Controller within 5 business days if it could lead to a misstatement or loss above the materiality level set by the Controller, or if it is recurring. A failure is recurring if it occurs in 2 consecutive months or 3 times within 12 months.

Additional key control indicators

Indicator	What it signals
Approvals dated after invoice posting or payment	Retroactive approval; bypassed workflow
Retroactive purchase orders (PO dated after invoice)	Purchasing after the fact; weak spend control
Duplicate payments identified and recovered	Effectiveness of duplicate detection
Payments made within 10 business days after a bank-detail change	Possible payment redirection or BEC
Invoices just below approval thresholds or split across days	Possible threshold avoidance
Manual, off-cycle, and urgent payments as a share of total	Process bypass; planning weaknesses
Vendors with overlapping bank accounts, addresses, or tax IDs	Possible duplicate or fictitious vendors
Aged open items and unreconciled differences	Unrecorded liabilities; reconciliation backlog
Open prepayments, unapplied credits, and standing payments	Unrecovered value; unmonitored cash outflow
SoD conflicts and unreviewed privileged access	Access-control weakness

The Controller sets and reviews at least annually the tolerance levels for each indicator.

15. Vendor Master Data Integrity

The vendor master is the foundation of payment control. The requirements below apply in addition to Section 9.3 and the Vendor Master Data Control Procedure (FIN-VM-001).

- A new supplier may be created only on a documented request, approved by the requesting business unit and Procurement, supported by a signed supplier form or contract and a tax document (see Section 17.4).
- Before activation, the supplier must be checked for duplicates (name, tax ID, bank account, address), screened against applicable sanctions lists, and checked against employee and related-party records to identify conflicts of interest.
- Bank details for a new supplier must be verified through an independent channel (for example, a call-back to a contact obtained from a source other than the supplier’s request) before the first payment.
- The vendor master administrator must not be able to post invoices, approve invoices, or release payments for the same suppliers.
- A supplier with no activity for 12 months must be blocked. Reactivating a blocked supplier requires the same verification as onboarding.
- The vendor master (duplicates, inactive suppliers, missing documents, shared attributes) must be reviewed in full at least once each calendar year, and the results retained.
- One-time and miscellaneous suppliers must be restricted, and payments to them are subject to enhanced review by the Finance Process Owner.

16. Internal Audit and Assurance

16.1 Independence and access

Internal Audit is independent of Accounts Payable and reports functionally to the Audit Committee (or equivalent governing body) under the Internal Audit Charter (IA-CH-001). Internal Audit has unrestricted, read-only access to AP records, workflows, the vendor master, payment files, bank confirmations, system audit logs, personnel, and the exception register. Management must not limit the scope of an audit, withhold records, or influence the content of audit findings.

16.2 Three lines of defense

Line	Who	Role in AP
First line	Business units, Accounts Payable, Procurement, Treasury	Own and operate the controls; identify and manage day-to-day risk.
Second line	Controller, Finance Process Owner, Compliance, Legal	Set policy; monitor control performance; provide oversight and challenge.
Third line	Internal Audit	Provide independent assurance on the design and operation of the first two lines.

16.3 Audit planning and frequency

Accounts Payable must be included in the risk-based annual audit plan. A full audit of AP must be performed at least once every 24 months, and every 12 months if the previous audit identified a High-rated finding or a material weakness. An additional audit must be considered after a fraud event, a significant system change, or a major organizational change. Internal Audit must use data analytics over the full population of invoices and payments for the duplicate, segregation-of-duties, and vendor-anomaly tests in Appendix B, where the systems allow, and may use sampling for other tests.

16.4 Standard audit procedures

Internal Audit will test, at a minimum, the following. The detailed test library is in Appendix B.

- Design and operating effectiveness of key controls in this policy, including approval, matching, duplicate prevention, bank-detail change verification, and payment release.
- Segregation of duties, using system access reports and transaction-level analysis.
- Completeness and accuracy of the vendor master and the integrity of changes to it.
- Period-end cut-off, completeness of accruals, and the accuracy of the AP subledger reconciliation to the general ledger.
- Special transaction types in Section 10: credit notes, prepayments, foreign currency, standing payments, and expense reimbursements.
- Compliance with the requirements in Section 17 (sanctions, anti-bribery, tax, privacy, and unclaimed property).
- Handling of exceptions, escalations, and previously reported audit issues.

16.5 Sampling and evidence

Sample sizes and selection methods must follow the Internal Audit methodology and be documented. Management must provide requested records within 5 business days of the request, or within another period agreed in the audit notification. Audit working papers must contain enough evidence for an independent reviewer to reach the same conclusion. Missing evidence for a control is treated as an indication that the control was not performed.

16.6 Reporting and issue management

- Findings are rated High, Medium, or Low on the basis of financial exposure, fraud risk, regulatory impact, and the pervasiveness of the failure.
- Management must respond to each finding in writing with an accountable owner, corrective action, and target date within 30 calendar days of the draft report.
- Remediation must be completed within 30 calendar days for High, 60 for Medium, and 90 for Low findings, counted from the final report, unless the Audit Committee approves a different date.
- Internal Audit tracks open findings and independently validates remediation before closure. Management must not self-close a finding.

- Overdue High findings, and any finding extended more than once, must be reported to the Controller and the Audit Committee.
- Results of AP audits, including aggregate findings and overdue items, must be reported to the Audit Committee at least annually.

16.7 Control self-assessment and certification

The Finance Process Owner must perform and document a control self-assessment of AP key controls every quarter. Within 15 business days of quarter-end, the Controller must certify to senior Finance management that key controls operated as designed during the quarter, or disclose the exceptions. Self-assessment results do not replace Internal Audit testing.

16.8 Fraud and investigations

Internal Audit must be notified within 1 business day of any suspected fraud, material duplicate payment, or intentional override of controls. Evidence must be preserved, and the persons involved must not be told of the investigation beyond what the investigating function directs. Investigations are led by Compliance, Legal, or Security as appropriate, with Internal Audit supporting and assessing control lessons. Confirmed cases must result in a root-cause review and, where appropriate, control redesign.

16.9 External audit and regulatory support

AP must provide the external auditors and regulators, through the Controller, with timely and complete access to records and personnel. Information must be accurate and not selectively presented. Auditor and regulator requests must be logged, and all responses reviewed before release.

17. Regulatory and Compliance Requirements

The requirements below apply where the organization, the supplier, or the transaction is subject to the relevant law or regulation. Where the law or a contract is stricter, the stricter requirement applies. Compliance, Legal, and Tax decide how these requirements apply to a specific case, and detailed steps are in the procedures listed in Appendix D.

17.1 Internal control over financial reporting

Where the organization is subject to the Sarbanes-Oxley Act (or an equivalent regime, or follows the COSO Internal Control framework), the AP controls in this policy that address material financial statement risks are designated key controls. Key controls must be documented, mapped to risks, tested for design and operating effectiveness, and evidenced. Control deficiencies must be evaluated and rated, and significant deficiencies and material weaknesses reported to the Audit Committee. A change to a key control must be approved by the Finance Process Owner and communicated to the control-testing function before implementation.

17.2 Anti-bribery and anti-corruption

- No payment may be made, directly or through a third party, to improperly influence a government official or any other person (including under the U.S. Foreign Corrupt Practices Act, the UK Bribery Act, and equivalent local laws). Facilitation payments are prohibited.
- Payments to agents, consultants, customs brokers, and other intermediaries who interact with government bodies require documented due diligence and Compliance approval before onboarding and payment.
- Gifts, hospitality, and donations must be supported by a business purpose, the approvals required under the Code of Conduct (HR-COC-001), and accurate descriptions. Misdescribing or concealing the nature of a payment in the books and records is prohibited.

17.3 Sanctions, anti-money laundering and prohibited payments

- Suppliers must be screened against applicable sanctions and restricted-party lists (such as those of OFAC, the UN, the EU, and the UK) at onboarding, on any change to the supplier's name or bank details, and by re-screening the full vendor master at least monthly and within 2 business days of a material list update. Beneficial owners of suppliers rated high-risk by Compliance must also be screened.
- A payment to a sanctioned or restricted party, or involving a sanctioned jurisdiction, must be blocked and escalated to Compliance and Legal within 1 business day. Staff must not alert the supplier or alter the payment to avoid the block.
- Payments must be made only to an account in the supplier's name. A request to pay a third party, a different country from the supplier's place of business, or multiple accounts, requires Compliance review before processing.
- Where law requires, suspicious activity must be reported through Compliance. AP staff must not report directly to authorities or discuss the matter with the supplier unless Compliance instructs them to.

17.4 Tax compliance

- Before the first payment, AP must obtain and validate the supplier tax documentation required by the Tax Procedures (TAX-001), such as IRS Form W-9 for U.S. suppliers or the applicable Form W-8 for foreign suppliers.
- Where documentation is missing or invalid, AP must apply backup withholding or other withholding as required by law and the Tax Procedures, and must not release the full payment unless Tax confirms it is permitted.
- AP must keep payment records classified in the way Tax requires so that information returns (for example, Forms 1099) can be filed by the deadlines Tax sets.
- Sales, use, value-added, and goods-and-services taxes must be reviewed on invoices, and tax owed but not charged by the supplier must be self-assessed under the Tax Procedures.
- Payments to foreign suppliers must be assessed for withholding tax and treaty relief before release.

17.5 Unclaimed property

Uncashed checks, unreturned payments, and supplier credit balances must be tracked. A check not cashed within 90 calendar days must be investigated, and at least two documented attempts must be made to contact the payee. Where a balance remains unclaimed for the statutory dormancy period, it must be reported and remitted to the applicable jurisdiction under unclaimed property (escheatment) laws. It must not be written off to income or retained by the organization.

17.6 Data protection and privacy

Supplier information that identifies an individual (including sole proprietors' names, tax IDs, and bank details) is personal data and must be handled in accordance with applicable privacy laws, such as GDPR and U.S. state privacy laws, and the Privacy Policy (LEG-PRV-001). Access must be limited to personnel with a business need. Sensitive data must be encrypted in transit and at rest, must not be sent by unencrypted email, and must be kept only as long as the retention schedule requires.

17.7 System access and IT general controls

AP, vendor master, and banking systems are subject to the IT Security Policy (IT-SEC-001) and the Change Management Procedure (IT-CM-001). In addition, the following are mandatory for these systems:

- User access must be role-based and approved, and reviewed every quarter by the system owner and the Finance Process Owner. The review must identify and remove segregation-of-duties conflicts.
- Access of leavers and transferred employees must be removed by the end of the next business day after their departure or role change.
- Shared logins for payment or approval functions are prohibited. Privileged and administrator accounts must be individually authorized, logged, and reviewed.

- Multi-factor authentication is required for payment release, bank portals, and remote access to AP systems.
- Changes to AP workflows, matching tolerances, and payment-file formats must be tested and approved before release to production.

17.8 Conflicts of interest and related parties

AP, Procurement, and approving staff must disclose any personal, financial, or family relationship with a supplier. A person with a conflict must not select, approve, or process payments to that supplier. Payments to related parties must be identified, separately approved, and disclosed in accordance with the applicable accounting and reporting requirements.

17.9 Whistleblowing and non-retaliation

Employees and third parties may report suspected violations of this policy, fraud, or pressure to bypass controls to their manager, Compliance, or the confidential reporting channel in the Whistleblower Policy (CMP-WB-001), anonymously where the law permits. The organization prohibits retaliation against anyone who makes a good-faith report or cooperates with an audit or investigation.

17.10 Training and attestation

AP, Procurement, Treasury, and approving personnel must complete training on fraud and business email compromise, sanctions and anti-bribery, segregation of duties, and this policy within 30 calendar days of joining and every 12 months after that. Completion records must be retained. AP and Procurement staff must attest every 12 months that they have read and complied with this policy and have disclosed any conflicts of interest.

17.11 Legal holds and regulatory inquiries

On receipt of a legal hold, subpoena, regulatory inquiry, or audit request, AP must suspend deletion of relevant records the same business day and refer the matter to Legal. AP must not respond directly to external parties without approval from Legal.

18. Non-Compliance

Failure to comply with this policy may result in suspension of processing or payment access, corrective action, required retraining, and referral to the appropriate management, Compliance, or investigation function in accordance with applicable company procedures. Deliberate circumvention of a control, falsification of records, obstruction of an audit or investigation, or retaliation against a reporter is a serious violation and may lead to disciplinary action up to and including termination, and referral to law enforcement or regulators where required.

19. Policy Ownership and Review

The Finance Process Owner is responsible for maintaining this policy, communicating material changes, and reviewing it at least once every 12 months. Changes must be reviewed and approved by the designated policy approver before publication, and every approved change must be recorded in the revision history below. Where a local procedure, contract, law, or regulation imposes a stricter requirement, the stricter applicable requirement must be followed and referred to Finance or Compliance if interpretation is needed. The policy must also be reviewed within 60 calendar days after a significant audit finding, fraud event, system change, or change in applicable law.

Revision history

Version	Date	Summary of change	Approved by
1.0	January 1, 2026	Initial release.	Controller or designated Finance executive
1.1	Draft prepared October 9, 2026; effective on approval	Removed the reference-questions appendix. Added vendor master integrity, special transaction types, internal audit, and regulatory compliance sections; added audit testing guide, policy parameters, and related documents appendices; replaced non-specific wording with defined time limits.	Pending

Appendix A — Control Summary

Control area	Minimum requirement	Evidence to retain
Invoice completeness	Required invoice details and support are present.	Invoice image/file and intake record.
Approval	Authorized approver approves before payment release.	Workflow approval or controlled approval record.
Matching	Applicable PO and receipt checks are completed; variances are resolved.	Match results and variance resolution.
Duplicate prevention	Potential duplicates are reviewed within 5 business days, before processing.	Duplicate-check result and disposition.
Vendor onboarding	Request approved; duplicate, sanctions, and conflict checks and tax documents completed before activation.	Approved request, screening results, tax form, bank verification record.
Supplier bank change	Independent verification is completed before payment instructions change.	Verification record and approved change request.
Payment release	Payment proposal is reviewed and released by authorized personnel.	Payment proposal, release evidence, and bank confirmation.
Credit notes	Recorded within 5 business days, linked to the original invoice, and approved.	Credit note, link to invoice, approval.
Prepayments	Approved one level above the equivalent invoice; cleared against receipt; reviewed monthly.	Approval, open-prepayment report, clearing record.
Recurring and standing payments	Set up from a contract with end date; entered on the register; reviewed.	Contract, register, monthly Treasury review.
Expense reimbursements	Itemized, receipted, and approved by manager; checked by AP.	Claim, receipts, approval, AP check.
Payment timeliness	Paid by due date; late payments reported monthly with reasons.	Monthly late-payment report.
Reconciliation	Subledger reconciled to general ledger monthly; differences resolved within 30 days.	Signed reconciliation and issue log.
Exceptions	Exception is documented, approved, time-bound (maximum 90 days), and monitored.	Exception record, approval, and register entry.
Sanctions and prohibited payments	Suppliers screened at onboarding and at least monthly; matches escalated within 1 business day.	Screening log and escalation record.
Tax compliance	Tax documentation obtained and validated; withholding applied where required.	Tax forms, validation results, withholding records.
System access	Access is role-based; reviewed quarterly; leavers removed by next business day.	Access review sign-off and removal tickets.
Audit issue management	Findings have owners and dates and are validated by Internal Audit before closure.	Issue log, management responses, validation evidence.
Training and attestation	Training completed within 30 days of joining and every 12 months; annual attestation signed.	Training records and signed attestations.

Appendix B — Internal Audit Testing Guide

This is a minimum library of tests. Internal Audit may add or vary tests on the basis of risk. Analytics must cover the full population of transactions for the duplicate, segregation-of-duties, and vendor-anomaly tests where data permits.

Test	Objective	Typical method
Duplicate payments	Detect payments for the same obligation made more than once.	Match on supplier, amount, date, invoice number (including variants such as added zeros, dashes, or suffixes), and PO.
Approval timing and authority	Confirm each payment was approved in advance by someone with authority.	Compare approval, invoice, and payment dates; compare approver to the Delegation of Authority.
Segregation of duties	Identify users able to perform incompatible tasks.	Cross-check roles and transaction logs: vendor creation, invoice entry, approval, and release by the same user.
Vendor master anomalies	Detect fictitious, duplicate, or high-risk suppliers.	Look for shared bank accounts, addresses, phone numbers, or tax IDs; PO-box-only addresses; vendors matching employee records; dormant vendors reactivated.
Bank-detail changes	Confirm changes were independently verified and authorized.	Sample changes; trace to verification evidence; test payments made soon after a change.
Threshold avoidance	Detect splitting of invoices to avoid approvals.	Identify multiple invoices to the same supplier just below limits within a short period.
Unusual patterns	Detect red flags of error or fraud.	Round-amount, sequential-number, and weekend/holiday invoices; Benford’s-law digit analysis; unusual posting times.
Matching overrides	Confirm variances were resolved, not forced.	Review manual match overrides and tolerance changes; confirm PO and receipt records were not altered.
Non-PO and retroactive POs	Assess whether purchasing controls are bypassed.	Trend non-PO spend; compare PO dates to invoice dates; review business justification.
Manual and urgent payments	Confirm enhanced review of off-cycle payments.	Sample manual wires and urgent payments; verify documented reason, independent release, and verification.
Credit notes and prepayments	Confirm credits and prepayments are valid, approved, and cleared.	Test credit notes to original invoices; review unapplied credits; age open prepayments; check approval level.
Foreign currency	Confirm correct currency, rate, and revaluation.	Compare invoice and supplier-record currency; re-perform conversion and period-end revaluation.
Recurring and standing payments	Confirm payments match current contracts.	Compare the standing-payment register to contracts; test for payments after contract end.
Expense reimbursements	Detect unsupported, duplicate, or self-approved claims.	Match claims to receipts and card data; test approver independence; review round or repeated amounts.
Cut-off and accruals	Confirm liabilities are in the correct period.	Test invoices and receipts around period-end; review the unrecorded liabilities search and accruals.

Test	Objective	Typical method
Reconciliation	Confirm AP subledger agrees to the general ledger and supplier statements.	Re-perform reconciliations; test timeliness, preparer/reviewer independence, and clearing of reconciling items.
Sanctions and tax	Confirm compliance with Section 17.	Re-run screening on the supplier file; test tax-form and TIN validation; test withholding on missing-form payments.
System access	Confirm access is appropriate and reviewed.	Compare active users to HR leavers; review privileged accounts, shared IDs, and the last access review.
Audit trail integrity	Confirm logs are complete and protected.	Test that deleted or changed records are logged and that AP users cannot edit logs.
Exceptions and prior findings	Confirm exceptions are approved and findings are remediated.	Review the exception register for expired items; re-test closed findings.

Appendix C — Policy Parameters

This table consolidates the time limits and frequencies used in this policy so they can be reviewed and changed in one place. A change to any value is a change to this policy and requires approval under Section 19.

Parameter	Value	Section
Business units forward invoices received directly to AP	2 business days	6.1
AP requests missing information on an incomplete invoice	3 business days	6.3
Invoice on hold escalated to Finance Process Owner	More than 30 calendar days	6.3
AP validates and routes (or holds) an invoice	5 business days	7.1
Review of a potential duplicate invoice	5 business days	7.4
Escalation of suspected fraud, altered payment instructions, or sanctions concern	1 business day	7.4, 12, 17.3
Approver acts on routed invoice, then escalation to delegate and manager	5 business days	8
Investigation of rejected or returned payment	2 business days	9.2
Overpayment recorded / supplier contacted / escalation if unrecovered	2 business days / 5 business days / 60 calendar days	9.5
Credit note recorded	5 business days	10.1
Open prepayment escalated after expected delivery	90 calendar days	10.2
Expense claim submission deadline	60 calendar days	10.5
Supplier statement reconciliation	Monthly (designated suppliers); quarterly (others with balance)	11
Reconciliation differences: owner / resolve / escalate	5 business days / 30 calendar days / 60 calendar days	11

Parameter	Value	Section
AP subledger to GL reconciliation: prepare / review	10 business days after period-end / 5 business days after preparation	11
Maximum duration of an exception	90 calendar days	12
Monitoring report to Controller	Monthly, within 10 business days of month-end	14
Control failure documented / escalated if significant or recurring	5 business days / 5 business days	14
Recurring failure	2 consecutive months or 3 times in 12 months	14
Supplier blocked for inactivity	12 months	15
Full vendor master review	Once each calendar year	15
Full AP audit by Internal Audit	Every 24 months; every 12 months after a High finding or material weakness	16.3
Management provides audit records	5 business days	16.5
Management response to draft audit report	30 calendar days	16.6
Remediation of findings: High / Medium / Low	30 / 60 / 90 calendar days	16.6
Control self-assessment / Controller certification	Quarterly / within 15 business days of quarter-end	16.7
Internal Audit notified of suspected fraud	1 business day	16.8
Sanctions re-screening of full vendor master	At least monthly; within 2 business days of a material list update	17.3
Uncashed check investigated	90 calendar days	17.5
User access review / leaver access removal	Quarterly / end of next business day	17.7
Training for new joiners / refresher and attestation	30 calendar days / every 12 months	17.10
Suspension of record deletion on legal hold	Same business day	17.11
Policy review	At least every 12 months; within 60 calendar days after a major event	19

Appendix D — Related Documents

The documents below contain the detailed procedures, limits, and rules referred to in this policy. Where this policy and a related document conflict, the stricter requirement applies.

Document	Reference	Used for
Delegation of Authority	FIN-DOA-001	Approval and payment authority limits, including dollar thresholds
Approval Procedure	FIN-APR-001	Approval workflow and acceptable email approval
Purchasing Procedure	PRC-001	Purchase order requirements and permitted non-PO spend

Document	Reference	Used for
Vendor Master Data Control Procedure	FIN-VM-001	Supplier creation, change, and bank-detail verification
Fraud-Reporting Procedure	CMP-FRD-001	Reporting and investigating suspected fraud
Bank Mandate	TRS-001	Payment release authority and bank security
Month-End Close Procedure	FIN-CL-001	Cut-off, accruals, exchange rates, and period-end
Journal-Entry Procedure	FIN-JE-001	Manual journals affecting AP balances
Travel and Expense Policy	FIN-TE-001	Expense limits and rules for reimbursement
Records-Retention Schedule	LEG-RET-001	Retention periods and legal holds
Tax Procedures	TAX-001	Tax documentation, withholding, and information returns
Code of Conduct	HR-COC-001	Gifts, hospitality, and conflicts of interest
Privacy Policy	LEG-PRV-001	Handling of personal data
Whistleblower Policy	CMP-WB-001	Confidential reporting and non-retaliation
IT Security Policy	IT-SEC-001	System access, authentication, and logging
Change Management Procedure	IT-CM-001	Testing and approval of system changes
Internal Audit Charter	IA-CH-001	Internal Audit independence, authority, and access

Draft note: the document references above follow a proposed numbering convention. Confirm each reference with Document Control and update it to the actual document number before publication.

Policy note: Specific monetary approval thresholds, payment calendars, tax rules, and retention periods are governed by the applicable Delegation of Authority, accounting procedures, contract terms, and records-retention schedule. This policy does not establish dollar thresholds.

END OF POLICY